

Employee Salary Management System (ESMS) Requirements & Development SOP

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Executive Summary

ACME Organization currently manages employee salary information through spreadsheets. As the organization has grown to approximately 10,000 employees, spreadsheet-based salary management has become difficult to maintain, error-prone, and inefficient for reporting and decision making. The goal of this project is to build a centralized web-based Employee Salary Management System (ESMS) that enables HR Managers to manage employee compensation data and obtain payroll insights through a scalable and user-friendly platform.

Product Vision

Provide HR Managers with a centralized platform to:

- Manage employee compensation records
- Track salary revisions
- Maintain salary history
- Analyze payroll spending
- Gain visibility into compensation trends

The system should replace spreadsheets as the primary source of salary information.

User Persona

Primary User: HR Manager

Responsibilities:

- Manage employee records
- Maintain salary information
- Process salary revisions

- Analyze payroll expenses
- Generate compensation reports

Pain Points:

- Managing large spreadsheets
- Difficulty tracking salary changes
- Manual reporting effort
- Lack of centralized information
- Limited payroll visibility

Problem Statement

The current spreadsheet-based process presents several operational challenges:

- Salary data is distributed across multiple files
- Data consistency is difficult to maintain
- Salary history is not auditable
- Reporting requires manual effort
- Payroll analytics are difficult to generate
- Employee search becomes inefficient at scale

The organization requires a centralized application capable of handling compensation data for 10,000 employees.

MVP Scope

Although the original requirement mentions employees across multiple countries, this MVP intentionally supports a single-country payroll model. This allows us to validate the core compensation management workflows while keeping implementation complexity manageable. The architecture will be designed to support future multi-country expansion.

Included Features

Employee Management

HR Managers can:

- Create employee records
- View employee records
- Update employee information
- Search employees
- Filter employees by department
- View employee profiles

Employee attributes:

- Employee ID
- Full Name
- Email
- Department
- Designation
- Employment Status
- Joining Date

Salary Management

HR Managers can:

- View salary information
- Update salary information
- Add annual bonuses
- Define salary effective dates
- Track salary revisions

Salary attributes:

- Base Salary
- Bonus
- Effective Date
- Last Updated Date

Salary History

Every salary modification shall be preserved. The system stores:

- Previous Salary
- Updated Salary
- Timestamp
- User who performed the change

Dashboard

The dashboard shall display:

- Total Employees
- Total Payroll Cost
- Average Salary
- Highest Salary
- Lowest Salary

Compensation Analytics

Department Analytics:

- Employee Count
- Average Salary
- Total Payroll

Salary Distribution:

- 0–5 LPA
- 5–10 LPA
- 10–20 LPA
- 20+ LPA

Top Earners:

- Top 10 highest-paid employees

Compensation Insights

The application shall provide payroll insights such as:

- Average salary
- Total payroll cost
- Department payroll
- Highest paid employees
- Salary distribution summary

These insights will be generated using SQL aggregations and backend business logic.

Out of Scope

The following capabilities are intentionally excluded:

Multi-Country Payroll

Requires:

- Currency conversion
- Exchange rate management
- Regional compliance
- Country-specific payroll rules

Payroll Processing

- Tax calculations
- Statutory deductions
- Payslip generation

Employee Self-Service

Not required for the HR Manager persona.

Approval Workflows

Can be introduced in future versions.

Attendance and Leave Management

Separate HR domain and outside compensation management scope.

Non-Functional Requirements

Scalability

The system shall support at least 10,000 employee records.

Performance

- Employee search under 2 seconds
- Dashboard load under 3 seconds
- Paginated employee listing

Maintainability

- Layered architecture
- Modular code structure
- Automated tests
- Clear documentation

Success Criteria

The MVP is successful if:

- HR Managers can manage employee compensation centrally
- Salary revisions are auditable
- Payroll analytics are available
- Employee search remains performant for 10,000 employees
- Core functionality is covered by automated tests
- The application is deployable and production-ready

Future Enhancements

- Multi-country payroll support
- Currency management
- Approval workflows
- Employee self-service portal
- Payslip generation

- Payroll processing
- AI-powered compensation insights